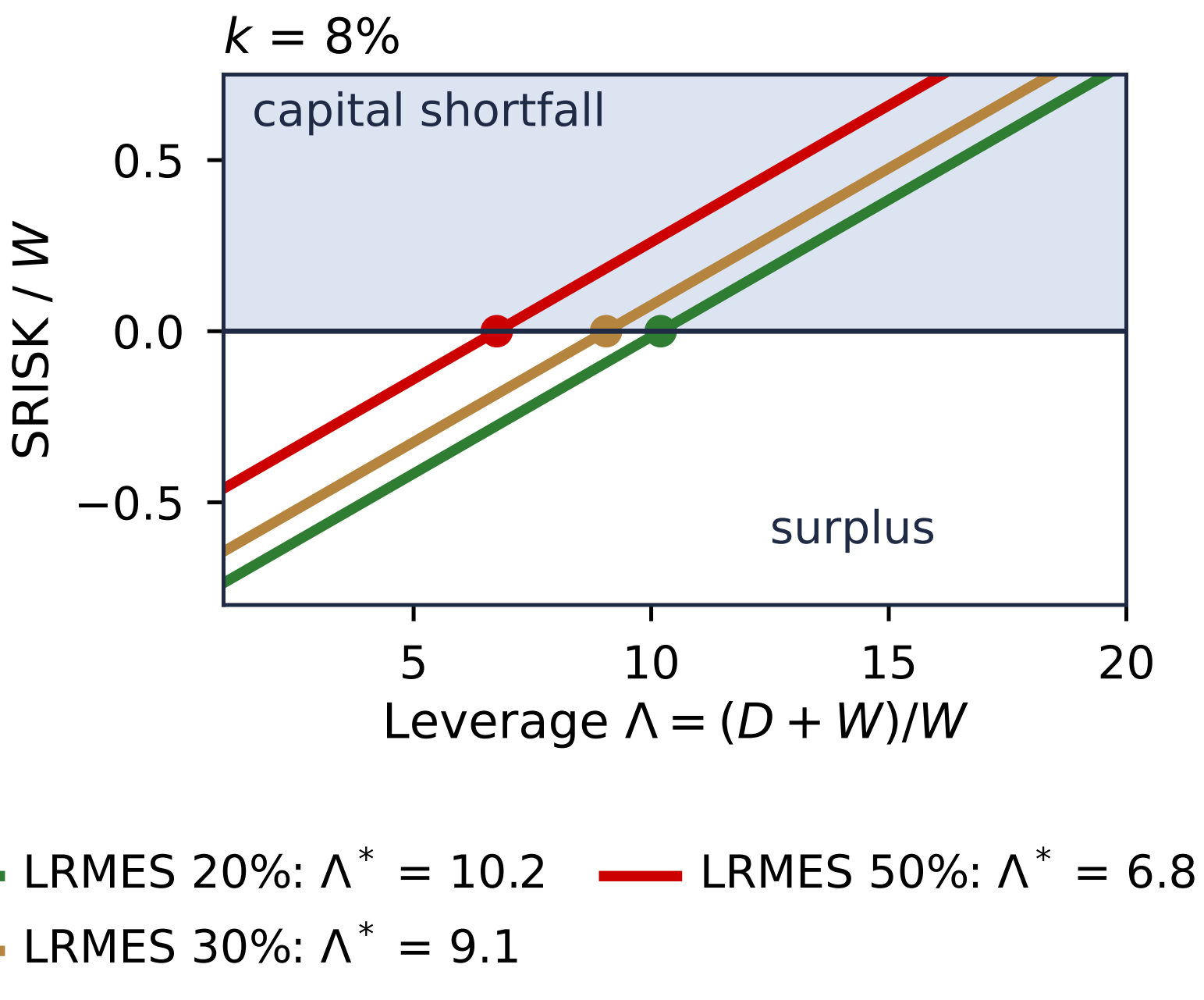
$k = 8\%$
capital shortfall
surplus
SRISK / W
0.5
0.0
−0.5
5
10
15
20
Leverage $\Lambda = (D + W)/W$
LRMES 20%: $\Lambda^* = 10.2$
LRMES 50%: $\Lambda^* = 6.8$
LRMES 30%: $\Lambda^* = 9.1$